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UPDATE

October 13, 2026 01:25 AM GMT

Softbank Group (9984) | Japan

NAV Discount: -42% (-21.0ppt YTD): Share Price ¥5.8K (+31.9% YTD) vs. NAV ¥10.0K (+79.4% YTD)

NAV discount: -42% (-21.0ppt YTD): share price ¥5.8K (+31.9% YTD) vs. NAV¥ 10.0K (+79.4% YTD): YTD% within total (JPY) ARM: +165%, Others+37%.

Exhibit 1: NAV discount and NAV composition ratio

Quarters & now	NAV discount	ARM	Others	Net debt
31-Mar-22	-51.8%	15%	111%	-26%
30-Jun-22	-55.1%	16%	101%	-17%
30-Sep-22	-54.6%	19%	99%	-18%
31-Dec-22	-40.4%	19%	103%	-22%
31-Mar-23	-46.3%	20%	92%	-12%
30-Jun-23	-36.2%	24%	85%	-9%
29-Sep-23	-37.1%	29%	90%	-19%
29-Dec-23	-53.4%	35%	75%	-10%
29-Mar-24	-53.9%	50%	58%	-9%
28-Jun-24	-57.7%	58%	49%	-7%
27-Sep-24	-55.9%	56%	54%	-10%
27-Dec-24	-56.8%	52%	61%	-13%
28-Mar-25	-56.0%	48%	69%	-17%
27-Jun-25	-56.5%	61%	59%	-20%
26-Sep-25	-14.4%	57%	64%	-21%
26-Dec-25	-18.9%	47%	85%	-32%
27-Mar-26	-43.2%	46%	73%	-20%
26-Jun-26	-48.1%	69%	46%	-14%
31-Jul-26	-42.6%	62%	62%	-24%
28-Aug-26	-44.4%	61%	63%	-24%
25-Sep-26	-44.2%	67%	53%	-20%
2-Oct-26	-42.5%	67%	56%	-23%
9-Oct-26	-41.8%	63%	62%	-26%
	Change			
YTD (2026)	-21.0%ppt	165%	37%	88%
Last 3 mo.	3.7%ppt	-18%	7%	17%
Last 6 mo.	4.8%ppt	91%	20%	48%

Source: Company data, FactSet, Morgan Stanley Research

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Softbank Group (9984.T, 9984 JT)

Internet | Japan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	¥5,500
Shr price, close (Oct 9, 2026)	¥5,803
Mkt cap, curr, basic (bn)	¥33,369.5
Avg daily trading value (bn)	¥438.0

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Exhibit 2: NAV discount and NAV breakdown by components (JPY bil)

Quarters & now	NAV discount	ARM	Others	Net debt (bil)	NAV (bil)
31-Mar-18	-59.2%	3,710	21,999	(4,499)	21,210
30-Jun-18	-54.5%	2,740	22,610	(6,260)	19,090
30-Sep-18	-34.2%	2,790	20,660	(4,460)	18,990
31-Dec-18	-63.3%	2,700	21,902	(2,902)	21,700
31-Mar-19	-49.2%	2,710	23,308	(3,708)	22,310
30-Jun-19	-47.8%	2,620	22,068	(4,188)	20,500
30-Sep-19	-58.1%	2,680	23,387	(4,540)	21,527
31-Dec-19	-58.4%	2,700	25,840	(4,800)	23,740
31-Mar-20	-63.9%	2,630	23,220	(3,580)	22,270
30-Jun-20	-52.5%	2,610	25,050	(3,020)	24,640
30-Sep-20	-58.5%	2,600	28,930	(3,640)	27,890
31-Dec-20	-42.4%	2,550	25,540	(4,020)	24,070
31-Mar-21	-39.8%	2,720	27,680	(3,710)	26,690
30-Jun-21	-49.7%	2,720	29,390	(5,120)	26,990
30-Sep-21	-45.6%	2,750	22,950	(4,810)	20,890
31-Dec-21	-52.2%	2,830	21,840	(5,320)	19,350
31-Mar-22	-51.8%	2,710	20,470	(4,720)	18,460
30-Jun-22	-55.1%	2,960	18,790	(3,150)	18,600
30-Sep-22	-54.6%	3,130	16,560	(2,960)	16,730
31-Dec-22	-40.4%	2,630	14,300	(3,080)	13,850
31-Mar-23	-46.3%	2,870	13,000	(1,750)	14,120
30-Jun-23	-36.2%	3,660	13,240	(1,350)	15,550
29-Sep-23	-37.1%	4,321	13,295	(2,862)	14,755
29-Dec-23	-53.4%	6,896	14,843	(1,940)	19,799
29-Mar-24	-53.9%	14,356	16,644	(2,490)	28,510
28-Jun-24	-57.7%	21,002	17,539	(2,550)	35,991
27-Sep-24	-55.9%	16,861	16,359	(2,980)	30,240
27-Dec-24	-56.8%	16,221	18,929	(4,130)	31,020
28-Mar-25	-56.0%	12,497	17,861	(4,330)	26,027
27-Jun-25	-56.5%	20,361	19,680	(6,748)	33,294
26-Sep-25	-14.4%	17,997	20,015	(6,640)	31,372
26-Dec-25	-18.9%	14,602	26,682	(10,025)	31,259
27-Mar-26	-43.2%	18,131	28,853	(7,696)	39,288
26-Jun-26	-48.1%	46,699	31,053	(9,804)	67,948
31-Jul-26	-42.6%	32,056	32,210	(12,423)	51,843
28-Aug-26	-44.4%	32,090	32,861	(12,423)	52,528
25-Sep-26	-44.2%	41,887	32,962	(12,423)	62,426
2-Oct-26	-42.5%	41,611	35,044	(14,488)	62,166
9-Oct-26	-41.8%	35,781	35,160	(14,488)	56,452

Source: Company data, FactSet, Morgan Stanley Research

Valuation Methodology and Risks

Softbank Group (9984.T)

We set our price target with reference to the latest trend in NAV. Higher AI asset exposure supports narrowing NAV discount. We applied an NAV discount of around 40%.

Risks to Upside

Recovery to a robust IPO situation

Fall in interest rates, which enhances equity market investment in growth companies, and increase in equity value of private companies

Risks to Downside

Continuing bear stock market, leading to fewer IPOs and cautious investment decisions

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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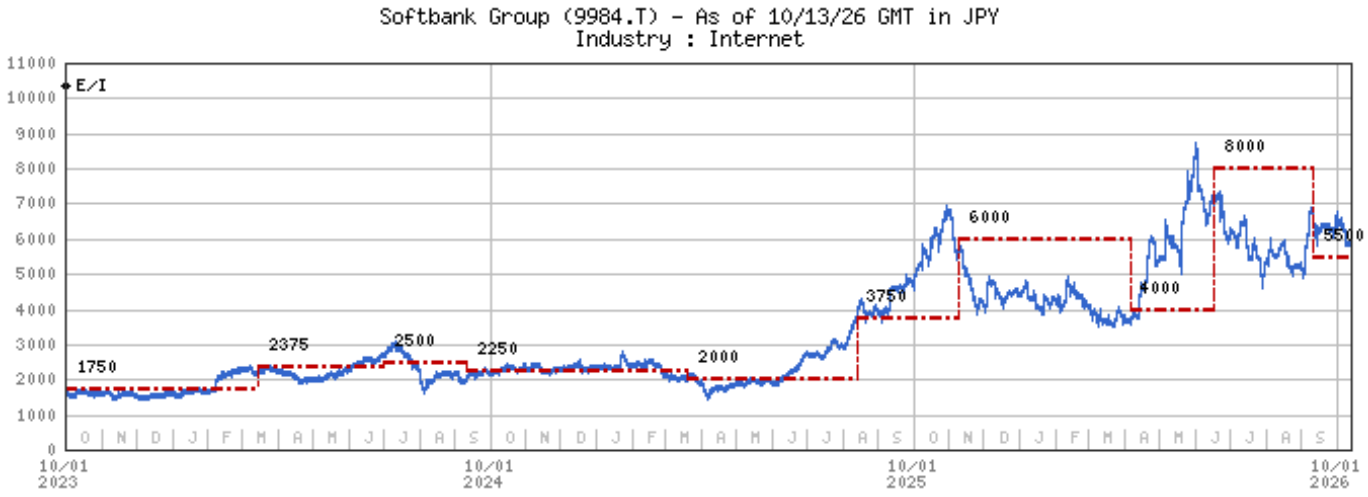
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Stock Rating History: 10/1/21 : NA/I; 4/25/23 : E/I

Price Target History: 9/13/20 : NA; 4/25/23 : 1250; 9/7/23 : 1750; 3/15/24 : 2375; 7/1/24 : 2500; 9/11/24 : 2250; 3/21/25 : 2000; 8/13/25 : 3750; 11/10/25 : 6000; 4/6/26 : 4000; 6/18/26 : 8000; 9/11/26 : 5500

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/09/2026)
Tetsuro Tsusaka, CFA		
Askul (2678.T)	U (12/06/2024)	¥1,199
CyberAgent (4751.T)	E (01/12/2024)	¥1,254
Kakaku.com (2371.T)	++	¥3,840
LY Corporation (4689.T)	O (09/11/2024)	¥511
Mercari (4385.T)	O (04/06/2026)	¥3,737
MonotaRO (3064.T)	O (09/12/2025)	¥2,250
Rakuten Group (4755.T)	O (07/08/2026)	¥660
Recruit Holdings (6098.T)	O (11/16/2014)	¥17,755
Softbank Group (9984.T)	E (04/25/2023)	¥5,803
ZOZO (3092.T)	E (04/06/2026)	¥1,150

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* Historical prices are not split adjusted.

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